

Banks - China (H/A)

1H26 post-results call takeaways from 15 banks

Industry Overview

Takeaways from major banks under our coverage

We hosted management calls with 15 banks. Key management takeaways are below.

ABC expects NIM to stabilize and potentially improve in 2H26, targets c.5% FY26 earnings growth, and sees capital and retail asset-quality pressures as manageable, with capital injection plans progressing and retail credit trends broadly stable in 3QTD.

BOC remains confident in maintaining mid-to-high single-digit loan growth and broadly stable NIM in 2H, supported by continued deposit repricing & improved FX NIM. Capital remains comfortable and the bank emphasizes a stable and sustainable dividend policy.

CCB targets steady, corporate-led growth and a FY26 payout ratio of 31%. NIM pressure persists, while CXMT supports non-interest income. Property risks remain manageable under the new policies, retail NPLs and the effective tax rate may edge up.

ICBC targets stable 2H26 NIM and FY26 profit growth no lower than 1H26. Retail and developer risks remain manageable despite pressure, while equity revaluation supports non-interest income. Future payouts will balance returns and capital needs.

PSBC: Corporate lending drove 90% of new loans, while CET1 fell to 10.04% and NIM remained pressured. One-off G&A reversals and tax-exempt bond holdings lowered costs and taxes; both should decline YoY, although the tax rate should normalize from 3Q26.

CMB targets NIM stabilization in 2H26, continued fee growth and improving retail credit trends through portfolio restructuring. Property policy impact should remain limited, bancassurance should improve sequentially, and CXMT's listing may affect 3Q26.

CNCB: NIM pressure is easing. Retail asset quality remains the main concern, but management sees improving mortgage & consumer-loan risk indicators and likely peak of card NPL formation. It retains 3% profit growth guidance but will try to outperform.

MSB: Retail lending remains the primary source of asset-quality pressure and higher provisions. NIM continues to improve gradually YoY on deposit-cost repricing, but management remains cautious on earnings, with positive profit growth unlikely this year.

CIB: Asset quality pressure remains on retail side, especially credit card loans. Management continues to build provision buffers, while strong fee-income growth and leading corporate loan expansion should help support revenue and earnings stability.

BOJS expects slower but still solid loan growth, easing NIM pressure, improving asset quality and stable earnings in 2H26. Deposit repricing should support funding costs, while better fee income and slower RWA growth should aid capital recovery.

BOHZ remains cautiously optimistic for 2H26, with a smaller investment-income drag. FY26 loan growth aims at 15-16% and NIM expects to be stable vs. FY25. Strong provision coverage supports earnings resilience, while payout should increase gradually.

CQRB expects high-single-digit FY26 profit growth, with NII and revenue broadly tracking 1H26. NIM should remain above 2025 despite 2H moderation, while stable asset quality, lower internet-loan exposure and improving fees support the outlook.

SHRB targets stable FY26 NIM, NII and profit growth, with commercial-property risks stabilizing and a modest payout-ratio increase expected.

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Equity
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Table of Contents

Company meeting takeaways	2
Agricultural Bank of China (ABC, 1288 HK)	2
Bank of China (BOC, 3988 HK)	3
China Construction Bank (CCB, 939 HK)	4
Industrial and Commercial Bank of China (ICBC, 1398 HK)	5
Postal Savings Bank of China (PSBC, 1658 HK)	6
China Merchants Bank (CMB, 3968 HK)	7
China CITIC Bank (CNCB, 998 HK)	8
Minsheng Bank (MSB, 1988 HK)	9
China Industrial Bank (CIB, 601166 CH)	10
Bank of Jiangsu (BOJS, 600919 CH)	11
Bank of Hangzhou (BOHZ, 600926 CH)	12
Bank of Suzhou (BOSZ, 002966 CH)	13
Chongqing Rural Commercial Bank (CQRB, 3618 HK)	14
Shanghai Rural Commercial Bank (SHRB, 601825 CH)	15
Bank of China (Hong Kong) Limited (BOCHK, 2388 HK)	16
Acronym	17

Winnie Wu >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 3058
winnie.wu@bofa.com

Emma Xu >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 8165
emma.xu@bofa.com

Wenqing Han, CFA >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 5032
wenqing.han@bofa.com

RWA: Risk-weighted assets

NII: Net Interest Income

NIM: Net Interest Margin

NPL: Non-performing Loan

PPOP: Pre-provision Profit

CXMT: ChangXin Memory Technologies

WM: Wealth Management

See other acronym at the end of the report

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Company meeting takeaways

Agricultural Bank of China (ABC, 1288 HK)

Earnings growth: Management indicated that operating trends for large banks have continued to improve and expressed confidence in maintaining relatively good profit growth in FY26. The bank targets net profit growth of around 5% and will strive to achieve a better outcome.

NIM: 2Q26 NIM rose 4bp QoQ, mainly driven by lower funding costs. Repricing of 3-year time deposits reduced the associated funding cost by c.135bp in 1H26 and should continue to support NIM in 2H26. Their maturities and repricing should remain relatively steady, without significant seasonality. Management expects NIM to stabilize and potentially improve sequentially in 2H26, supported by deposit repricing and stronger loan growth than peers.

Effective tax rate: the effective tax rate was 18.5% in 1H26, above peer levels, mainly due to timing effects as part of the tax payment shifted from 1Q26 to 2Q26. Management expects the FY26 effective tax rate to be broadly consistent with historical levels and peer averages, at around 15%.

Loan growth: both industry and regulators are increasingly emphasizing quality over volume. Management expects the bank's long-term loan growth to moderate gradually but remain above peers and broadly aligned with nominal GDP growth.

Fee income: the 8.7% YoY decline in 1H26 largely reflected a high base from a sizable one-off legacy WMP adjustment in 2Q25. Underlying fees grew c.5% YoY. While some residual base impact should persist in 2H26, the full-year decline is expected to narrow from the 1H26 level.

Other non-interest income: 2Q26 other non-interest income mainly reflected gains from other financial investments rather than CXMT. Although CXMT listed in 3Q26, its shares remain subject to a lock-up period, and management expects a prudent approach to recognizing unrealized valuation gains.

Retail asset quality: Retail NPL formation remained relatively contained versus peers, despite continued volatility in personal consumption and operating loans. Management attributed this resilience to ABC's end-to-end risk controls and offline verification and monitoring. Overdue loans and NPL formation remained broadly stable in 3Q26TD versus 2Q26, but no clear inflection point has emerged, with risks likely to remain elevated and volatile.

Property: Management believes recent property-support measures are broadly positive. The extension of maximum mortgage maturities from 30 years to 40 years could help stimulate mortgage demand, while tighter controls on presales could improve project completion and provide additional protection for homebuyers and banks. Management hopes these policies will help stabilize the property market.

Capital injection: Management indicated that market expectations for the injection size have become smaller than previously anticipated, implying less dilution, and that pricing would be at a premium to the prevailing share price.

Dividend: the coordinated payout increase among large state banks reflects regulatory guidance. Management does not currently expect a further payout-ratio increase; any subsequent change would likely be coordinated with other large banks.

Meeting attendee: Nan Wang, IR Manager, Agricultural Bank of China

Bank of China (BOC, 3988 HK)

Dividend policy: The payout-ratio increase reflected regulatory guidance and BOC's intention to reward investors. Management emphasized the consistency, stability and sustainability of the dividend policy and will study potential flexible arrangements.

NIM: ~RMB1tn of three-year RMB time deposits matured and repriced lower in 1H26. A similar amount is due in 2H, although both the volume and magnitude of repricing are expected to be slightly smaller than in 1H. New loan pricing has generally stabilized. FX NIM rose >10bp YoY in 1H and NIM at offshore institutions also improved. Management expects 2H NIM to remain broadly stable.

Volume growth: BOC maintained its full-year target of mid- to high-single-digit volume growth despite slower system credit growth. Its growth remains above the industry average, while offshore loan growth is now almost as fast as onshore loan growth. Deposit growth is expected to broadly match loan growth.

Capital: RWA grew ~9% YoY and CET1 ratio declined by ~50bp in 1H26 to 12.0%, partly because loan growth was front-loaded and dividend and AT1 distributions reduced equity. Management said CET1 remains comfortably above the regulatory minimum and does not view the current level as a hard trigger for recapitalization or slower growth.

Developer loans: With the newly introduced real estate policies, competition is expected to shift from developer-level relationships toward specific projects, with a primary bank overseeing each project's overall financial position. This should improve control and transparency, but may intensify competition for the primary-bank role. Longer repayment cycles and slower asset turnover could add risk to developer loans, so management sees both opportunities and risks.

Mortgage maturity: Existing headquarters guidance remains unchanged: borrowers above age 75 cannot apply for mortgages, while borrower age plus mortgage maturity is generally capped at around 70–80 years, varying by region. The new 40-year mortgage policy may still benefit some existing borrowers through maturity extensions, even if they do not qualify for a full 40-year tenor. The overall impact on mortgage remains uncertain at this early stage.

Mortgage asset quality: The requirement to disburse mortgage loans only after property delivery should reduce mortgage NPL risk by limiting exposure to unfinished projects.

Other non-interest income: 1H volatility reflected lower income from swap and derivative businesses, as well as the treatment of participating-insurance dividend distributions as a negative deduction. CXMT's fair-value gain was not materially reflected in 2Q because the company listed in July; it will be recognized from 3Q. BOC will apply a liquidity discount during the one-year lock-up period to limit the impact of market volatility on revenue.

Minority interests: The decline in minority income mainly reflected RMB appreciation and negative FX translation. BOCHK's 7% reported net-profit growth translated to roughly 1% in RMB terms, while the group outperformed BOCHK. Other non-bank subsidiaries excluding BOCHK recorded 18% YoY growth, but related-party transaction adjustments also affected the group-level result. Consequently, net profit after minority interests grew faster than total net profit.

Meeting attendee: Amy Chen, IR Manager, Bank of China



China Construction Bank (CCB, 939 HK)

Dividend: CCB has historically maintained a payout ratio of at least 30% and expects FY26 payout to be no lower than 31%. The increase reflects a balance among shareholder returns, capital costs and long-term development. Whether the payout rises further in 2027 will depend on overall conditions.

Loan growth: Management targets steady and prudent loan growth in FY26. While slower retail lending is weighing on overall growth, CCB aims to maintain a healthy retail mix. Corporate lending should remain the key growth driver, supported by robust demand from AI, the digital economy, semiconductors and advanced manufacturing, as well as the technological and green transformation of traditional industries. Management sees these policy-supported areas as long-term structural growth opportunities.

Property policy: extending mortgage tenors to 40 years should improve affordability and support housing demand without materially increasing risk, given CCB's average actual repayment period of seven to eight years and borrowers' preference for early repayment. Existing borrowers may apply for maturity extensions, subject to credit approval and risk assessment; CCB is working with regulators to distinguish ordinary contractual amendments from restructuring for borrowers facing repayment difficulties. Meanwhile, the transition toward completed-home sales should have limited impact on prudent developers, and the overall asset-quality risk is expected to remain manageable.

NIM: 1H26 NIM was 1.37%, up 3bp versus FY25, reflecting active asset-liability and pricing management. However, downside pressure remains from weak credit demand, lower loan pricing, softer bond reinvestment yields and potential LPR cuts, while deposit-repricing benefits should moderate in 2H26.

Non-interest income and fees: Record 2Q26 other non-interest income reflected bond-disposal and equity-revaluation gains, with CXMT a significant contributor. Underlying fee trends remained stable, supported by settlement, wealth and asset-management income.

Asset quality: retail NPL formation remains elevated, with credit-card pressure partly amplified by balance contraction. CCB is tightening controls across approval, monitoring, collection and disposal. Provision and loan-loss reserve coverage rank second among major state banks and remain reasonable; future provisioning will reflect regulatory requirements and management's macro and credit-risk assessments.

Bond investments: CCB's RMB10tn-plus bond portfolio had broadly stable to slightly lower duration versus end-2025. With yields low, management is using trading and portfolio rebalancing to manage duration and interest-rate risk.

Effective tax rate: the 1H26 effective tax rate rose to 13.3% from c.11% in 1H25, mainly due to business-mix changes and fewer tax-deductible disposal losses. Some credit losses were written off against provisions for accounting purposes but were not immediately tax-deductible, resulting in higher income-tax expenses. Management expects the effective tax rate to edge up further in 2H26.

Meeting attendee: Yan Li, Head of IR, China Construction Bank

Industrial and Commercial Bank of China (ICBC, 1398 HK)

Dividend: the interim payout increase reflected investor demand, solid results and the benefit of supporting ROE. Future payout decisions will balance shareholder returns against longer-term capital needs.

NIM: assuming no further LPR cuts, management targets broadly stable NIM in 2H26. Deposit costs fell 19bp in 1H26, driven mainly by long-term time-deposit repricing, with c.60% completed in 1H26 and the remaining c.40% due in 2H26. With most loan repricing pressure now absorbed, loan-deposit spreads should recover modestly. New-loan pricing has stabilized at low levels since July, with corporate yields edging down, personal-loan yields stable, and card yields continuing to decline. In 1H26, new mortgage, consumer, and personal business loans were priced at c.3.06%, 3.10%, and 2.87%, respectively. The lower reported personal-loan yield mainly reflected suspended interest accrual on NPLs overdue by more than 90 days, rather than weak new-loan pricing.

Asset quality: Retail remains the key pressure point, while corporate asset quality has passed an inflection point and is improving. The credit-card NPL ratio rose 76bp HoH to 5.37%, partly due to balance contraction. Installment-loan NPLs exceeded 6%, mainly reflecting auto-financing stress, while credit-card overdraft NPLs were slightly above 2%. Management is realigning the installment business and plans to integrate it into consumer lending.

Consumer-loan quality is improving following tighter underwriting since 2025, with new-book default rates outperforming legacy loans. Personal business-loan quality remained stable, supported by predominantly property-backed exposure in economically developed regions. As corporate asset quality has passed an inflection point, management is shifting more disposal resources toward retail NPLs.

Property: the developer-loan NPL ratio rose 88bp HoH to 6.27% in 1H26, mainly due to downgrades of several large borrowers. New lending remains focused on high-quality projects in core Tier-1/2 city areas. The new presale policies may lengthen developers' cash-conversion cycles, but developer loans account for only 2.7% of total loans and carry higher reserve coverage, keeping the overall asset-quality impact manageable.

Other non-interest income: Equity-investment valuation gains, supported by the STAR 50 rally, were the largest contributor to 1H26 other non-interest income, followed by bond MTM gains as yields declined. Bond trading and disposal gains were broadly flat YoY. CXMT contributed little in 2Q26 due to its unlisted valuation and liquidity discount, with the main valuation impact expected in 3Q26 following its listing.

Earnings: Higher write-offs constrained 2Q26 profit growth. Total write-offs reached RMB81.9bn in 1H26, a historical high, but management does not expect this level to persist in 2H26 due to seasonality. Management targets FY26 profit growth to be no lower than that achieved in 1H26.

Meeting attendee: Dahai Wang, Deputy General Manager of Corporate Strategy and Investor Relations Department, Industrial and Commercial Bank of China



Postal Savings Bank of China (PSBC, 1658 HK)

Dividend payout: the payout increase responded to investor demand for a higher ROE following dilution from the capital injection. Future payout ratios will be dynamically adjusted based on regulatory guidance and the bank's growth outlook.

Capital adequacy: the CET1 ratio fell 49bp HoH to 10.04% in 1H26, driven by strong credit growth and a more capital-intensive, corporate-led lending mix. Despite this, PSBC's loan-to-deposit ratio remains 20-30ppt below peers, leaving room for further credit expansion. Management has introduced RWA growth quotas across business units to strengthen capital discipline. While the regulatory CET1 minimum is 8.5%, the MOF has set a somewhat higher, undisclosed target following the recapitalization. The bank is also preparing to adopt the advanced internal ratings-based approach, which could reduce capital consumption.

Loans grew 7.7% YoY in 1H26, led by c.RMB600bn of corporate lending, which accounted for 90%+ of net new loans. Retail loan growth was modest, supported by small-ticket personal loans, while discounted bills declined by c.RMB46bn in 1H. More than RMB600bn of the RMB750-800bn FY26 lending plan was delivered in 1H26, representing over 80% of the full-year target. Having front-loaded lending to lock in yields, management will shift its 2H26 focus toward mix optimization, while adjusting loan growth based on market demand.

Asset quality: retail asset quality remains under pressure but is stabilizing at an elevated level, while the corporate NPL ratio declined HoH to 0.52%. Management has slowed retail-loan growth but aims to continue serving high-quality retail customers and avoid an excessive contraction in the retail book.

Property: the management believes the new 40-year mortgage policy primarily provides downside protection for mortgage asset quality. The impact on mortgage demand remains uncertain, and applications from existing borrowers have yet to be observed.

NIM declined 5bp QoQ in 2Q26, underperforming other major state banks, as three-year deposits account for only 11% of total deposits, limiting repricing benefits. In 1H26, funding costs fell 17bp, partly offsetting a 20bp decline in asset yields and resulting in a 3bp NIM contraction versus end-2025. Management expects NIM pressure to persist in 2H26 but believes compression should moderate from recent years, supported by a stable LPR, greater regulatory emphasis on pricing discipline and growth quality, and an improving deposit mix. Self-operated deposits accounted for nearly 60% of new deposits in 1H26, a record high, but still represent only c.20% of total deposits, leaving substantial room for further mix improvement.

Agency deposit fee rates: the blended deposit agency fee rate declined 4bp YoY to 1.01% in 1H26. As these fees are mainly based on the outstanding deposit balance, management expects changes to remain gradual and does not anticipate a fee-rate increase in the declining interest-rate environment.

Costs: G&A expenses fell 17% YoY in 1H26, primarily due to a one-off reversal of previously accrued liabilities, alongside tighter cost controls, process optimization and organizational reforms. Management expects FY26 operating costs to decline YoY, supporting further improvement in the cost-to-income ratio.

Tax expenses fell 32.3% YoY in 1H26, with an unusually low effective tax rate of 10.1%. This mainly reflected increased holdings of tax-exempt government bonds and a high 1H25 base from non-deductible expenses. Management expects FY26 tax expenses to remain lower YoY, but the effective tax rate should normalize toward the previous year's level from 3Q26 as the 2Q26 one-off effects fade.

Meeting attendee: Linke Wang, IR Manager, Postal Savings Bank of China

China Merchants Bank (CMB, 3968 HK)

Net fee income grew c.6% YoY in 1H26, driven by wealth management and custody. Wealth-management fees rose c.26% on stronger fund distribution, while custody income delivered steady, volume-led growth. Settlement and clearing income increased by over 10% in retail banking and c.5% in wholesale banking. Credit-card fees remained weak due to subdued offline transactions, partly offset by growth in online transaction income recorded under settlement and clearing. Bancassurance income edged up and should improve sequentially in 2H26, supported by rising high-net-worth demand for protection-oriented products, despite near-term regulatory pressure. Asset-management AUM grew 12% YoY, although related fees fell 1.5% due to product-mix, fee-rate and market effects.

Asset quality: developer-loan NPL balances continued to decline, reflecting tighter forward-looking risk management since 2023. Retail asset quality excluding credit cards improved marginally overall, with lower NPL formation versus both 2025 and 1Q26. Credit cards remained the key pressure point, as NPL formation, overdue balances and SMLs rose amid a challenging external environment and more stringent risk recognition. Management expects credit-card asset quality to improve through tighter customer selection and continued portfolio restructuring.

Property policy: management expects the new property policies to have limited impact on CMB's asset quality, as the bank already applies project-based lending, strict developer admission standards and selective regional exposure. The new rules may require even greater prudence in selecting developers and projects, broadly consistent with the bank's existing underwriting approach.

NIM declined in 1H26 on earlier LPR cuts, weak credit demand and a lower mix of higher-yielding retail loans. Earning-asset yield fell 32bp YoY to 2.82%, outpacing the 29bp decline in deposit cost, while interest-bearing liability cost remained sector-low at 1.05%. NIM compression narrowed in 2Q26, but CMB's low share of long-term deposits limits repricing benefits versus peers. Management aims to keep the FY26 decline below FY25's 11bp, maintain its industry-leading margin and stabilize NIM in 2H26.

CXMT: direct equity investments by the bank or consolidated entities are recognized at FVTPL (Fair value through profit or loss), while investments through non-consolidated entities are reflected in income from associates or joint ventures. Following CXMT's 3Q26 listing, valuation will shift from an unlisted-company methodology to market-based pricing, potentially subject to accounting-related discounts and volatility adjustments.

Total non-interest income was broadly flat YoY in 1H26. Income from associates and joint ventures almost doubled, while other non-interest income declined 7% YoY. Lower realized bond gains reflected a high base, partly offset by improved bond trading gains as yields declined and higher FX gains. Management continues to balance NII and non-NII, as well as short-term realized gains and longer-term returns.

RWA growth will be calibrated to capital adequacy and returns, with management prioritizing more efficient capital deployment, sustainable internal capital generation and improved market valuation.

Dividend: the 35% payout ratio remains ahead of many banking peers. Management acknowledged investor interest in a further increase and will consider the issue comprehensively.

Meeting attendee: Yuning Hu, IR Manager, China Merchants Bank



China CITIC Bank (CNCB, 998 HK)

NIM: Asset repricing pressure was largely concentrated in 1Q, with NIM stabilizing thereafter. Management continues to optimize both assets and liabilities through bill reduction, bond allocation adjustments and deposit-cost control. NIM remains under mild pressure in a prolonged low-rate environment, but the pace of contraction should be significantly slower than last year. Management expects only little fluctuation in 2H.

Loans: Regulators no longer impose rigid loan-growth targets, allowing banks to focus more on profitability and asset quality. CNCB targets loan growth broadly in line with 2025. Corporate lending remains the key driver, particularly in strategic emerging industries and “new productive forces” sectors. Retail strategy prioritizes quality over volume, with mortgages remaining the main growth focus given their attractive risk-return profile.

Real estate: The bank continues to accelerate the resolution of legacy property risks while tightening underwriting standards for new projects. It is actively diversifying growth toward non-property sectors. Policy-driven loan downgrades may raise overdue ratios but are not expected to materially affect provisioning needs.

Retail asset quality: Retail accounts for roughly 80% of total provisions. The bank has tightened underwriting standards and shifted new origination toward lower-risk mortgages. Management believes credit-card NPL formation could peak this year, while mortgage and unsecured consumer-loan asset-quality early risk indicators have improved significantly compared to the peaks in 2024.

Recent property policies: Measures announced on August 28, 2026 allowing longer mortgage tenors should support affordability and demand. However, stricter project admission standards increase competition for quality real-estate projects. Adjustments to provident-fund lending policies could create some substitution pressure on commercial mortgages. Management views the impact as manageable and believes CNCB's established position in the secondary-home mortgage market provides a competitive advantage.

Fee Income remains a key offset to NIM pressure. Through July, credit-card fee income outperformed peers, while wealth-management distribution ranked among the strongest in the peer sector. Bancassurance performance remained broadly in line with industry averages.

Effective tax rate declined YoY in 1H26 from a high base and is expected to remain broadly stable going forward.

Earnings outlook: Management maintained existing earnings guidance (3%), while expressing a desire to outperform targets but remaining cautious given macro uncertainty.

Capital return: Management prefers a gradual increase in shareholder returns rather than a one-off rise in the payout ratio. DPS growth remains the primary objective, supporting a steady improvement in capital returns over time.

Meeting attendee: Xiangli Shan, IR Manager, China CITIC Bank

Minsheng Bank (MSB, 1988 HK)

Asset quality: Corporate asset quality remains broadly stable, with pressure concentrated in retail lending. Total provision increased 20% YoY in 1H26 mainly due to weakness in credit card and consumer loans, while mortgage asset quality remained relatively resilient. Management expects retail pressure to persist in 2H26, although provision growth should moderate from 1H levels. Full-year provisions are now likely to rise, vs previous guidance for modest increase.

Property exposure: Recent property policies are viewed as positive for the sector's long-term health and should reduce risks for homebuyers, but management expects limited near-term impact on banks' mortgage or developer-loan portfolios. Most remaining project exposures are linked to SOE-backed developers and are considered manageable. The growing importance of the secondary-home market (>60% of transactions) should also reduce the impact of the first-hand home.

NIM has improved steadily since 2025, supported by faster liability repricing. In 1H26, deposit costs fell c.40bp vs a 30bp decline in loan yields, helping stabilize NIM. While 2Q NIM rebounded sharply, management cautioned against extrapolating the trend and expects only modest annual improvement. Deposit repricing will continue, albeit at a slower pace, loan yields remain under pressure from slower growth in higher-yield assets, while conservative bond positioning limits reinvestment risks.

Loan growth: Management continues to target low-to-mid single-digit loan growth, with corporate loans remaining the primary driver as retail demand stays weak.

Fee income growth slowed in 2Q. Agency and wealth-management businesses remained solid, while bank card fees declined in line with industry trends. Higher customer-acquisition spending, particularly through the Sam's Club co-branded card program, weighed on net fee profitability. Nevertheless, management still expects modest growth in full-year net fee income. The Sam's Club customer base has exceeded 1.8mn and contributed over RMB120bn of AUM.

Other income: Bond-related businesses performed better than expected, while visibility on capital-market-related income remains limited. Management confirmed no semiconductor equity exposure given no proprietary equity investments nor AIC platform.

Earnings & capital return: Management expects profitability trends to improve in 2H26 as provision growth moderates, although a return to positive earnings growth this year remains unlikely. The dividend payout ratio has remained slightly above 30% for nine consecutive years, and management has no plans for significant changes so far.

Shareholder update: Individual investor Dai Siyuan increased its stake to 2.36% as of end-June via secondary-market purchases. Management views the investment as primarily financial in nature, with no indication of strategic intentions.

Meeting attendee: Zhao Xiao, Deputy Director, IR Division, China Minsheng Bank

China Industrial Bank (CIB, 601166 CH)

Property policies: Mortgage rates are not expected to fall further. Longer tenors may ease borrower repayment pressure and support asset quality but could delay new mortgage issuance and slow near-term mortgage growth. Corporate real-estate lending will require stronger risk management capabilities and is likely to concentrate further among stronger banks. More supportive urban-renewal rules create additional growth capacity; urban-renewal and industrial-park projects already account for roughly half of CIB's corporate real-estate loans.

Real-estate risk remains concentrated in traditional developer loans, where resolution depends on property sales and a stabilization or recovery in the market. Stronger banks are expected to secure better-quality projects and gain share. The expiry of the "16 measures" is not expected to cause a material increase in NPLs or provisioning pressure: viable restructured projects may continue to receive support, while projects still unable to repay remain subject to downgrade risk regardless of policy expiry.

Retail asset quality: Credit cards remain the main source of retail pressure in 2026, the first year after the customized instalment-policy expiry. More accounts applying for new customized instalments were downgraded in 2Q, driving higher provisioning than in 1Q, but the policy impact is expected to moderate in 2H. Excluding this effect, credit-card new NPL formation fell about 11-12% YoY. Personal operating loans remain under pressure as weaker operating conditions affect repayment capacity and willingness; new NPL formation rose sharply in 1Q and stayed high but broadly stable in 2Q. Most non-credit-card retail loans are collateralized by property, with LTV above 50%.

Provisioning: CIB expects the NPL ratio and provision-coverage ratio to remain broadly stable for rest of the year. New NPL formation declined by RMB3.6bn YoY in 1H and is expected to fall for the full year, helped by a significant reduction on the corporate side. Total provisions are nevertheless expected to rise YoY: provisions rose by RMB2.4bn YoY in 1H and are also expected to increase YoY in 2H, although management said it is too early to quantify the full-year increase. The additional buffer is intended to prepare for potential future risks and reduce future earnings volatility from provisioning.

Profit and dividend: Net profit after AT1 was broadly stable in 1H, and management expects this trend to continue into 2H, while guidance on net profit before AT1 remains difficult because of provisioning uncertainty. CIB has raised its payout ratio over the past decade and intends to continue doing so, subject to a cap of no more than 1/3 of net profit before AT1, management emphasized a stable DPS and does not want DPS to decline. Interim dividend could be announced next year.

Loans: CIB grew >RMB320bn of corporate loans in 1H, ranking first among joint-stock bank peers and already meeting its full-year corporate loan growth target. For retail lending, the priority remains asset-quality control rather than growth.

NIM: 1Q NIM declined sharply because of greater allocation to lower-yielding interbank assets and continued compression in the loan-deposit spread. The pace of NIM YoY decline moderated in 1H, and is expected to narrow further in coming quarters.

Fee income grew 8.6% YoY in 1H, accelerating from 1Q. Wealth management and custody both delivered growth of more than 10%. Management expects the trend to continue through the full year, lifting fee income's contribution to total revenue.

Other non-interest income: The YoY decline narrowed in 1H vs 1Q. Against a high base and a five-year CAGR of 12%, management was satisfied with the performance. Combining the major revenue streams, CIB expects the **overall revenue** decline to narrow gradually, broadly following the NII trend.

Effective tax rate rose modestly in 1H due to reduced tax-exempt investment income. Management does not expect a structural increase in the effective tax rate.

Meeting attendee: Liqiang Yang, Deputy Head, IR Division, China Industrial Bank

Bank of Jiangsu (BOJS, 600919 CH)

Major shareholders and board seats: two board seats remain available. China Life has expressed limited interest in board representation, while Jiangsu Guojin appears more willing to raise its stake, subject to uncertainty over timing and scale. Any increase to 5% would be subject to prior regulatory approval and public disclosure.

Loans and deposits: targets 10-15% loan growth in 2026, with growth likely to moderate in 2H26 as the focus shifts toward portfolio optimization. Corporate lending should remain the key growth driver, supported by technology, green and pension finance, major government projects and manufacturing upgrades. Retail loans have declined for four consecutive quarters, with no explicit volume target set. The bank continues to rationalize personal business and credit-card loans and remains cautious on internet lending, while mortgage growth is largely market-driven. On the liability side, the 2H26 priority is to optimize the deposit mix and lower funding costs.

Asset quality: overall NPL formation was broadly stable in 1Q26 and 2Q26 and should decline QoQ in 3Q26, supporting further asset-quality improvement in 2H26. The bank is reducing personal business loan exposure to weaker borrowers, while internet-loan NPL formation has declined since 2Q26 following tighter platform management and exits from weaker platforms. Construction-sector NPLs mainly reflected repayment pressure among property developers. Provision coverage should remain sector-leading, although management has not set a specific target or floor.

NIM compression narrowed in 2Q26 and should ease further in 2H26, supporting broadly stable NII growth versus 1H26. Funding costs benefited from deposit-mix optimization in 1H26, with further upside as existing deposits reprice. On the asset side, corporate loan pricing rose 1bp MoM in July, while consumer loan pricing should stabilize around the 3% regulatory floor as management prioritizes pricing discipline over volume. However, the yield premium of government-related loans over real-economy loans is expected to narrow over time.

Fee income: higher fee expenses in 2Q26 were seasonal and related to digital-finance expansion, including platform partnerships and merchant acquisition. Another material increase is unlikely, while related income should gradually offset the costs. Net fee income should improve in 2H26, with full-year growth likely between the 1Q26 and 2Q26 levels.

Other non-interest income declined YoY in 2Q26, reflecting a measured pace of financial-market gain realization. Financial investments should grow steadily, with no material acceleration expected in 2H26. Given limited upside in bond yields, management will prioritize stable investment returns, while maintaining a broadly stable mix across fair value through profit or loss (FVTPL), fair value through other comprehensive income (FVOCI) and amortized cost (AC).

Revenue, earnings and tax: revenue and net profit growth should remain broadly stable, using 1Q26 as the anchor. The effective tax rate should also remain stable.

CET1: the management remains comfortable with the CET1 ratio, given its historically stable range. Slower loan growth and profit retention should support a CET1 ratio recovery in 2H26, while further upside could come from improved capital management and potential external issuance if regulatory approvals resume.

Management attendee: Mengzhu Tang - IR Manager, Bank of Jiangsu



Bank of Hangzhou (BOHZ, 600926 CH)

Earnings outlook: Management provided no explicit profit or revenue growth guidance, citing volatile macro conditions and weak system-wide credit demand. The strategic objective remains to keep profitability and asset quality among leading listed banks rather than defend a specific double-digit earnings-growth target. Slower 1H26 earnings growth reflected a tougher operating environment, low investment income and proactive loan-mix repositioning, rather than weaker long-term profitability goals. Core income remained solid, with NII up nearly 20% YoY, supported by lower funding-cost and improved NIM. Fee income rose 16.5% YoY in 2Q from a low base, though further acceleration is unlikely. Realized gains on amortized-cost bond investments fell to just over RMB0.3bn in 1H26 from RMB1.8bn in 2025, weighing on other non-interest income, but the management expects the YoY drag to narrow in 2H26 on a more favorable base.

Loans grew 15.1% YoY in 1H26, broadly on track to meet management's FY26 target of 15-16%. Around 50-60% of the annual lending plan was completed in 1H26 to lock in better pricing before further yield compression. New lending is shifting toward technology, advanced manufacturing, green finance and specialized high-tech enterprises, backed by over 100 projects, while the incremental contribution from government-related lending should decline. New government-related loans yield c.3.3-3.4%, versus c.2.3-2.4% for real-economy loans. Management expects associated settlement, payroll, cash-management, cross-border financing and wealth-management fees to partly offset the c.100bp yield gap.

Retail lending remained under pressure. Mortgage balances declined YoY, reflecting weak household leverage demand, subdued income expectations, housing provident fund loan substitution and continued prepayments. BOHZ has introduced 40-year mortgages but expects limited demand upside, as the maximum borrower age remains unchanged. Developer loans totaled RMB35bn, of which 80-90% was extended to SOE developers. Consumer loans grew modestly and should remain the key retail growth focus in 2H26. BOHZ cut selected internet-platform exposure by a further RMB3-4bn to below RMB25bn in 1H, with improving asset quality helping stabilize the remaining portfolio.

NIM: Management targets FY26 NIM to remain at least stable versus FY25, supported by deposit repricing, tighter liability-cost management and balance-sheet mix optimization. However, with deposit repricing benefits likely to fade and corporate loan yields continuing to decline, NIM could contract modestly in 2027.

CIR fell c.1ppt YoY in 1H26, with 2H costs expected to remain controlled.

Effective tax rate: the effective tax rate rose to c.15% in 1H26 from c.10% in FY25, mainly because a c.RMB0.6bn deferred-tax benefit related to bond-market valuations in 1H25 did not recur. Management expects tax-rate volatility to moderate in 2H26, assuming stable bond-market conditions.

Asset quality: SME and personal operating loans remain the key concern, but the c.470% provision coverage ratio, the highest among listed banks, provides significant headroom for reserve releases and supports earnings resilience.

Capital and dividend: CET1 was c.9.5% following the RMB15bn CB conversion. The YoY increase in interim payout implies a c.27% FY26 payout, versus 26.4% in 2025. Management intends to raise the payout gradually but has not committed to 30% yet. Major shareholders continued market purchases, although ownership caps limit further buying.

Management attendee: Zhisen Wang - IR Manager, Bank of Hangzhou

Bank of Suzhou (BOSZ, 002966 CH)

Loan growth: loan growth and pricing softened in 3Q26 versus 1H26, with no recovery in real-economy credit demand. Government-related lending accounted for 70-80% of YTD loan growth, while retail loans declined and real-economy lending remained broadly stable. Management expects FY26 loan growth to moderate from the 1H26 pace but remain slightly above FY25.

Government-related lending: Growth was driven by local government debt resolution, infrastructure, as well as industrial M&A. New loan yields continued to fall and were rarely above 4%. Average new corporate loan pricing was below 3% in Suzhou and 3.0-3.3% in other parts of Jiangsu. Management remains cautious on the 2027-28 growth outlook, given limited new policy support rolled out and upcoming local government leadership transitions.

Asset mix: the less decline of asset yield was mix-driven, reflecting a shift to government-related lending and greater contribution from higher-yielding markets outside Suzhou. Suzhou's share of new lending fell by c.10ppt, with markets outside Suzhou contributing c.60%. The mix benefit should continue as the branch network outside Suzhou is now fully established, despite broad-based pricing pressure.

Retail loans: the major downsizing of personal business loans has been largely completed, with balances down only over RMB2bn YTD. New NPL formation has started to decline, ahead of the industry, following proactive reductions since 2024. Consumer loans are mainly refinancing existing balances, with stable asset quality but limited deployment opportunities. BOSZ aims to grow mortgages and consumer loans while stabilizing personal business loans. **Internet loans:** outstanding internet loans have fallen to RMB6bn+ and will be reduced further as part of BOSZ's risk strategy, rather than due to regulatory requirements. The NPL ratio remains above 3%, higher than for other loan categories, although risk exposure is broadly stable.

Property loans: BOSZ has introduced 40-year mortgages, but expects limited demand given the higher total interest cost. Mortgage balances continue to decline because new lending cannot offset regular repayments, rather than due to elevated early repayment. Developer-loan balances should continue to trend down over the next one to two years given weak property demand. While exposure is primarily to SOE developers and some further NPL formation remains possible, overall asset-quality risk should remain manageable.

NIM and earnings: FY26 NIM is expected to improve by high single digits YoY, with most deposit repricing benefits realized in 1H. NIM should remain broadly stable thereafter, with movements limited to a few basis points depending on asset mix. Full-year revenue and net profit growth should remain around 1H26 levels.

Fee income decline should narrow to the mid-single digits in FY26, as growth in third-party product distribution partially offsets continued pressure from the downsizing of self-managed WMPs under regulatory guidance given the lack of the WMS license.

Asset quality: provisioning increased on a prudent basis, while the lower NPL coverage ratio mainly reflected rapid loan growth. The rise in special-mention loans was primarily driven by internet loans and SME exposures.

Dividend: the dividend payout should remain stable, with the interim dividend plan expected to be released in 3Q.

Management attendee: Jerry Zhu - Head of IR, Bank of Suzhou

Chongqing Rural Commercial Bank (CQRB, 3618 HK)

Earnings outlook: the management expects full-year NII growth and revenue growth to be largely in line with the 1H26 level and full-year net profit growth should accelerate from 1H26 to a reasonable high-single-digit level.

Dividend: following payout increases by large banks, CQRB is consulting local regulators on its payout level and benchmarks, with large banks as the primary reference.

Effective tax rate: the higher 1H26 effective tax rate was driven by lower tax-exempt income from public bond-fund dividends. The base was elevated in 1Q25 due to sizeable distributions supported by strong 2024 bond-market gains. Management expects dividend income to recover HoH in 2H26, leaving the FY26 tax rate above FY25 but below the 1H26 level.

NIM recovered in 1Q26 before declining QoQ in 2Q26. The 1Q rebound was largely seasonal and liability-driven, as deposit repricing was concentrated in 1Q, amplifying the benefit from lower funding costs. Full-year NIM is expected to be below the 1H26 level but above 2025.

Loan pricing: the decline in new-loan pricing narrowed, with corporate loan pricing stabilizing and the decline in new retail loan pricing moderating since 2Q26. Corporate pricing benefited from stable LPRs and higher pricing floors under the local self-discipline mechanism. Government-related loans were priced above some real-economy loans, particularly in suburban areas, where pricing reached 4-5%. **Deposit pricing:** deposit growth is concentrated in 1Q. Most deposits have maturity within two years, with c.60-70% expected to be repriced next year. Local PBOC branch may lower deposit-rate ceilings for local banks, following similar moves in Guangdong, Jiangsu and Zhejiang; large banks could also lead another industry-wide reduction.

Loan growth: corporate loan deployment remained on track to meet the full-year target. CQRB's local market share rose 0.2ppt in 1H (excluding internet loans), and incremental lending outpaced state and joint-stock banks.

Fee income improved in 2Q26, with full-year growth expected to remain around the 1H26 level. Corporate business remained the key driver. Management will focus on wealth-management and fund-distribution fees in 2H26, with a more meaningful earnings contribution expected from 1H27.

Other non-interest income: the mix of bond investment portfolio is broadly stable with some increase in AC allocation. Full-year other non-interest income will remain sensitive to market conditions.

Retail loans' asset quality: NPL formation in personal business loans slowed YoY in 1H26. Smart underwriting should improve customer selection, and management has not actively accelerated personal business loan growth. **Internet loans** (pricing at 13-18%) continued to be reduced under the new rules, the balance fell 50-60% to around RMB10bn from the beginning of the year and should decline by another RMB2-3bn in 2H, materially reducing future NPL formation. With asset quality expected to remain stable in 2H26, management also expects full-year provisioning to remain broadly stable.

Management attendee: LIU, Chang - IR Manager, Chongqing Rural Commercial Bank

Shanghai Rural Commercial Bank (SHRB, 601825 CH)

Property loans: the management highlighted record-high Shanghai property transactions in August following the rollout of the “Shanghai Eight Measures,” suggesting improving market activity. Property-related exposures account for c.10-20% of corporate loans, of which c.30-40% are development loans and the remainder primarily operating-property loans. Since 2H25, the bank has suspended new operating-property lending while increasing development loan lending, focusing on prime Shanghai projects and leading developers. Legacy operating-property risks are still surfacing as previously restructured projects migrate to NPLs, although management believes the worst has passed and expects asset quality to stabilize gradually. On the retail side, SHRB’s mortgage originations declined less YoY than the broader Shanghai market, supporting the market-share gains despite subdued housing demand. Reflecting subdued demand, FY26 mortgage-growth guidance was lowered to c.RMB3bn from RMB8-9bn previously. Monthly mortgage repayments remain elevated at c.RMB1.5bn, with early repayments accounting for around 60% of the total repayments. The recently announced 40-year mortgage policy has yet to be implemented.

Corporate loans remain the main growth engine, driven by SOEs and strategic clients across technology, property, wholesale and retail, and manufacturing. Private enterprises account for c.60% of the corporate-loan book. However, pricing remains weak, with average corporate-loan yields (excluding inclusive SME loans) at c.2.6%, or c.2.3% for large corporates.

Retail loans growth has trailed expectations, but auto loans remain the key growth driver, delivering RMB8bn of originations and over RMB4bn of net growth in 1H26, with a further c.RMB4bn expected in 2H26. Online-loan NPL formation improved to c.2.7% from above 3% after exiting higher-risk platforms. Credit cards remain in runoff and are no longer a strategic priority.

NIM: FY26 NIM is expected to remain around the 1H26 level, with NII growth broadly tracking the 1H26 run rate. Asset-yield pressure is easing, as corporate-loan pricing was largely stable MoM in August, supported in part by the industry self-discipline mechanism. On liability side, around 60% of deposit repricing was completed in 1H26, with the remaining 40% set for 2H26, while non-deposit funding costs retain further downside. SHRB’s deposit rates are broadly in line with those of state-owned banks, or only a few basis points higher.

Fees and other income: Fee income should remain positive in FY26, although growth is likely to moderate from the strong 1Q26 pace, which benefited from seasonally stronger bancassurance income. Wealth-management sales continue to show solid momentum. Other non-interest income: FX-related one-offs should weigh on other non-interest income, while financial-market income is expected to remain positive through selective gain realization. The WMS license remains pending regulatory approval.

Earnings and asset quality: FY26 earnings growth should broadly mirror the 1H26 trend. Excluding the high base from 3Q25 NPL recoveries and 4Q25 property-disposal gains, underlying quarterly earnings should continue to improve. Management expects FY26 NPL formation to remain broadly in line with 2024, with provision coverage maintained at above 300%.

RWA and dividend: RWA growth has outpaced lending due to the higher development-loan mix and reinvestment of maturing government bonds into credit bonds, but pressure should ease in 2H26. The FY26 payout ratio should rise slightly, likely by less than 1ppt, constrained by capital consumption and limited external capital-replenishment options.

TAO Dingkun - IR Manager, Shanghai Rural Commercial Bank



Bank of China (Hong Kong) Limited (BOCHK, 2388 HK)

Capital return: BOCHK will maintain quarterly dividends and an annual payout range of 40-60%. The approved 2026–28 shareholder return plan will provide at least HKD10.5bn of additional returns, including a 2026 special dividend of HKD0.2388/share. Future distributions may include special dividends or share buybacks, subject to board approval. Capital will continue to support growth in Southeast Asia, the GBA, digitalization and green finance etc.

Asset quality: 1H26 asset quality improved as Hong Kong's economy, trade and housing market strengthened, while BOCHK tightened credit controls and actively managed higher-risk exposures. Loan reserve ratio was 1.12% and NPL coverage ratios improved to 125% by 1H26. Management expects credit costs to ease in 2H and decline YoY for FY26.

NIM and NII: Adjusted 1H26 NII rose 3.3% YoY to nearly HKD30bn, while adjusted NIM increased 3bp YoY to 1.57%. Adjusted 2Q NIM fell 4bp QoQ to 1.55%, due to asset yield pressure, while deposit mix remained supportive. NIM remains under pressure in 2H, but management aims to keep NII broadly stable through active balance-sheet management.

Loans grew 5.9% HoH in 1H26, slightly below the industry average, but BOCHK retained the largest market share. Growth was led by trade finance (+21%), Southeast Asia loans (+9.6%), RMB loans (+9.9%) and overseas lending (+7.0%). Management continues to target above-market growth while maintaining risk discipline.

Fee income: Fund distribution and management fees grew in 1H26. A recovery in equity-market activity and consumption supported credit-card business growth. Higher RMB-related transaction volumes also helped. Insurance-related earnings remained robust, although BOC Life's contribution is not reflected in reported fee income because of consolidation rules. BOC Life delivered 28% YoY growth in annualized new premiums and 56% YoY growth in new business value during 1H26. For 2H26, key focus areas include wealth management, private banking, asset management and custody services.

Cross-border wealth management: Management remains constructive on cross-border wealth-management demand as financial connectivity between HK and mainland China continues to deepen. Recent cross-border regulatory and tax measures are viewed as supportive of long-term market development by promoting regulated investment channels. Against this backdrop, BOCHK delivered steady growth in cross-border wealth-management customers and personal wealth-management income in 1H26.

Property revaluation: Grade-A office transaction value rose notably in 1H26 as demand recovered. Management expects investment-property valuations to remain broadly stable in 2H, although non-core office and retail markets remain soft.

Operating expenses increased 6.7% YoY and the cost-income ratio was only 22.5%. Spending was driven by staff costs, technology investment, branch optimization and business expansion. Management expects operating expenses and the cost-income ratio to remain broadly stable, with AI automation and process simplification supporting efficiency gains.

Meeting attendee: Xuefei Huang, Board Secretary, Bank of China (Hong Kong) Limited

Acronym

ABC: Agricultural Bank of China
 BOC: Bank of China
 BoComm: Bank of Communications
 CCB: China Construction Bank
 ICBC: Industrial and Commercial Bank of China
 PSBC: Postal Savings Bank of China
 CEB: China Everbright Bank
 CMB: China Merchants Bank
 CNCB: China CITIC Bank
 MSB: China Minsheng Bank
 CIB: China Industrial Bank
 SPDB: Shanghai Pudong Development Bank
 PAB: Ping An Bank
 BOCD: Bank of Chengdu
 BOHZ: Bank of Hangzhou
 BOJS: Bank of Jiangsu
 BONB: Bank of Ningbo
 BONJ: Bank of Nanjing
 BOSZ: Bank of Suzhou
 CQRB: Chongqing Rural Commercial Bank
 CSRB: Changshu Rural Commercial Bank
 SHRB: Shanghai Rural Commercial Bank
 BEA: Bank of East Asia
 BOCHK: Bank of China (Hong Kong) Limited
 HSB: Hang Seng Bank
 StanChart: Standard Chartered

AGM: Annual General Meeting
 AT1: Additional Tier 1
 CAR: Capital Adequacy Ratio
 CB: Convertible Bond
 CD: Certificates of Deposit
 CET1: Core Equity Tier 1
 CIR: Cost-to-Income Ratio
 CRE: Commercial Real Estate
 ECL: Expected Credit Loss
 EV: Electric Vehicle
 FVTPL: Fair Value Through P&L
 FVTOCI: Fair Value Through Other Comprehensive Income
 IFRS: International Financial Reporting Standard
 LDR: Loan-to-Deposit Ratio
 LGFV: Local Government Financing Vehicle
 LPR: Loan Prime Rate
 LTV: Loan to Value
 MOF: Ministry of Finance
 MTM: Mark to Market
 NAV: Net Asset Value
 NII: Net Interest Income
 NIM: Net Interest Margin



NFRA: National Financial Regulatory Administration

NPL: Non-performing Loan

OCI: Other comprehensive income

PPOP: Pre-provision Profit

QTD: Quarter-to-Date

ROE: Return on Equity

RWA: Risk Weighted Asset

SME: Small-and-Medium sized Enterprise

SG&A: Selling, General and Administrative

SOE: State-owned Enterprise

SASAC: State-owned Assets Supervision and Administration Commission

TLAC: Total Loss Absorption Capacity

TSF: Total Social Financing

WM: Wealth Management

WMP: Wealth Management Product

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